

market in India but till date, thanks to price constraints, remain out of reach for the consumer. Ashish Bakshi, country head, BenQ India, who also manufactures LCD monitors, "Currently, in India, the LCD monitor is viewed as an aspiration for individuals and a necessity for BPOs and other MNCs thanks to the response time. LCD monitors will eventually gain popularity in the top 10 commercial cities of India. Further, with the home segment gaining momentum, we believe that companies will now focus more on innovation in terms of aesthetics, response time and also the price to iron out the problems."

A recent Gartner study reveals that China's share of Asia/Pacific original design manufacturer (ODM) revenue from notebook PCs, motherboards, LCD monitors and optical disk drive production is increasing. It will rise from 57 per cent in 2003 to 84 per cent in 2008.

Why LCD?

Contrary to belief and despite the existing price barrier, LCD panels have quite a few advantages over CRT monitors, one of the main ones being they consume less power and hence incur lower running costs.

Secondly, they are more forgiving on the eyes in a well-lit room and are your best companions for long periods of time and fatigue-free working.

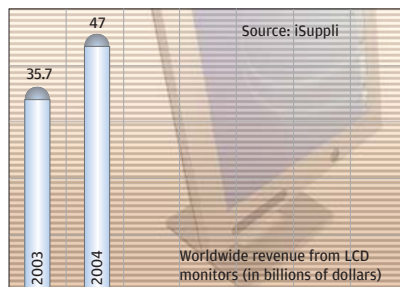
Evidently, they take up less space than CRT monitors and are the preferred choice in corporate offices. LCD monitors are also relatively distortion-free and are not plagued by convergence and other distortions that are a commonplace with CRT monitors.

Dhananjay Shah, director, Pure View, a display company predicts that LCDs will replace CRTs in India, in a little over two years. "Timing is key," he says, pointing out that LCD prices are likely to fall towards the middle of next year. "This is primarily because this is an evolving technology and with newer products like plasma displays entering the market, LCD prices will definitely be slashed."

Internationally, LCD prices fell like never before in 2004, driven mostly by the surplus generated due to low sales.

However, this wasn't reflected in the Indian market largely due to the import duties levied on such products. Needless to say, this fall in

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Flatter The Better?

- ☑ They take up less space on your desk
- ☑ Consume less power
- ☑ Better value for money
- ☑ Lesser distortion than CRT monitors
- ☑ Easier on the eyes
- ☑ LCD monitors do have low refresh rates
- ☑ Prices still restrictive

prices fuelled sales, resulting in larger volumes and demand going up.

"Worldwide, LCD monitor prices have fallen in the last few months largely due to the drop in panel pricing. However, this has currently stabilised to a certain extent," says Bakshi.

In India, though, the sole reason for poor penetration of LCD panels is the high prices. Despite the recent fall in prices, LCD monitors continue to cost more than what the consumer is ready to pay.

A 14-inch LCD monitor, for example, costs about Rs 12,000 whereas a 15-inch retails for about Rs 13,500. Compare this with the prices for CRT monitors at Rs 4,500 for a 15-inch and Rs 6,500 for a 17-inch and the puzzle is solved. CRT monitors will continue to hold sway in the Indian market till such time that the price difference is vast.

However, over the past two years, 14- and 15-inch monitors priced around Rs 5,500 and 6,700 were staple products for dealers and manufacturers alike. Priced upwards of Rs 8,500, 17-inch monitors were the occasional treat while 19- and 21-inch monitors, at Rs 16,000-plus were the festive feast! A price drop around December 2003 pulled down the price of 17-inch monitors to Rs 6,500 and eventually to Rs 5,500 in 2004 resulting in good sales. In fact, they sold so well, that by the end of 2004 there was an acute shortage of 17-inch monitors in the market!

The Future

Over the last two years, prices of LCD panels have gone down significantly. If this trend continues this year, LCD panels might just have a chance to go past CRT monitors but only if the price drop resembles that of the 17-inch monitor. As Ashish Bakshi sums it up, "The LCD revolution is not on us yet, but we are at the threshold on one for sure."

The market for LCD monitors in India was estimated to increase to one lakh units by 2003, a five-fold increase from 2002. This is expected to jump further to four lakh units by 2004 according to industry sources.

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Sales of LCD monitors will rise globally, overtaking revenue from sales of conventional CRT (cathode ray tube) monitors, according to IDC. The predominant LCD size now is the 15-inch screen, but the market will shift to 17-inch screens soon. The switch over is expected to take place in 2005. ■

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